Factory Assessment Report

Sustainable Compliance Initiative (SCI)

Companies that join the Fair Labor Association (FLA) agree to uphold the FLA Workplace Code of Conduct throughout their entire supply chain. The Code of Conduct is based on International Labour Organization (ILO) standards, and defines labor standards that aim to achieve decent and humane working conditions.

FLA member(s)	Nike, Inc - 56
Country	India
Assessment Date	9/1/2025
Assessment Company	InSync Global - 200003

Workforce Summary

Number of Workers	3818
Percentage female	92 %
Primary Languages	Telugu

Wage Data information

Monthly minimum wage in country at time of assessment	The legal minimum wage for Visakhapatnam, Andhra Pradesh in 2024 for unskilled workers is ₹12,248.50 in Zone III
GLWC living wage benchmark for the country or relevant region at time of assessment	The GLWC living wage gross benchmark for Tamil Nadu, India in 2024 is 19,323 INR

Assessment Summary

Violations per FLA Code Element	Violated Benchmarks
Nondiscrimination (ND)	0
Health, Safety And Environment (HSE)	15
Employment Relationship (ER)	15
Hours Of Work (HOW)	5
Harassment Or Abuse (HA)	2
Freedom Of Association And Collective Bargaining (FOA)	1
Forced Labor (F)	0
Child Labor (CL)	0
Compensation (C)	6

Violations per Category	Violated Benchmarks
Immediate Action Required	27
Sustainable Improvement Required	17
Uncorroborated Risk of Non-Compliance	0
Notable Feature	0

Assessment Results

Compensation (C)	
Benchmark ID	C.1.1
Benchmark Details	Employers shall comply with all national laws, regulations and procedures concerning the payment of compensation to workers.
Finding Details	A letter from management to communicate the termination of employment for 7 out of 10 sampled workers was not available for review. In the absence of the letter, the last date of employment, based on which terminal dues are calculated, could not be verified.
Recommendations for Immediate Action	The factory should ensure that complete documentation pertaining to terminal dues is maintained and made available for verification.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	The Payment of Wages Act 1936 - 13A. Maintenance of registers and records.— (1) Every employer shall maintain such registers and records giving such particulars of persons employed by him, the work performed by them, the wages paid to them, the deductions made from their wages, the receipts given by them and such other particulars and in such form as may be prescribed. (2) Every register and record required to be maintained under this section shall, for the purposes of this Act, be preserved for a period of three years after the date of the last entry made therein.]

Benchmark ID	C.13.2
Benchmark Details	Written consent for voluntary wage deductions shall be documented in employee files.
Finding Details	Costs towards meals and transport provided by the factory are deducted from the wages of workers. These deductions are not legally mandated, and the factory does not obtain written consent from workers for these deductions.
Recommendations for Immediate Action	The factory should obtain written consent from workers prior to making any deduction of wages that are not legally mandated.
Recommendations for Sustainable Improvement	

Compliance Classifications	Immediate Action Required
Local Law	THE PAYMENT OF WAGES ACT, 1936 - 7. Deductions which may be made from wages-) Notwithstanding the provisions of the wages of an employed person shall be paid to him without deductions of any kind except those authorized by or under this Act.

Benchmark ID	C.15.1
Benchmark Details	Employers shall provide workers a pay statement in languages understood by workers each pay period and not less frequently than once a month,
Finding Details	A pay slip is provided to workers post payment of wages instead of being provided prior to payment of wages as legally required.
Recommendations for Immediate Action	A pay slip should be provided to workers prior to payment of wages, as legally required.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	Minimum Wages Central Rules 1950- Rule 26 (2): A wage slip in Form XI shall be issued by every employer to every person employed by him at least a day prior to the disbursement of wages.

Benchmark ID	C.21.1
Benchmark Details	Employers shall provide all legally mandated benefits, including holidays, leave, bonuses, severance payments and 13th month payments to all eligible workers within legally defined time periods.
Finding Details	a. When workers leave employment, wage for days worked in the pay period prior to leaving employment is paid in the following pay period irrespective of date of leaving employment. b. Review of pay records of terminal dues for 10 sampled workers revealed that wages for unused leave was paid 6 to 35 days post leaving employment instead of paying within 2 working days post leaving employment. c. Entitled bonus (as part of terminal dues) is not paid to workers when they leave employment and is paid when bonus is paid to all workers (in October every year). This practice may result in workers not receiving the bonus if they leave employment prior to October or post October if they can't be contacted.

Recommendations for Immediate Action	a. Wages for days worked prior to leaving employment should be paid before expiry of second working day from date of leaving employment. b. Wages for unused leave should be paid within expiry of second working day from date when workers leave employment. c. Legally mandated bonus should be paid as part of terminal dues when workers leave employment.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	a. Item 13(3) of Schedule 1 appended to Industrial Employment (Standing Orders) Rules 1946: Where the employment of any workmen is terminated, the wages earned by him and other dues, if any, shall be paid before the expiry of the second working day from the day on which his employment is terminated. b. Factories Act 1948, Chapter VIII section 79. Annual leave with wage (3)- If a worker is discharged or dismissed from service or quits his employment or is superannuated or dies while in service, during the course of the calendar year, he or his heir or nominee, as the case may be, shall be entitled to wages in lieu of the quantum of leave to which he was entitled immediately before his discharge, dismissal, quitting of employment, superannuation or death calculated at the rates specified in sub-section (1), even if he had not worked for the entire period specified in sub-section (1) or sub-section (2) making him eligible to avail of such leave, and such payment shall be made-- i) where the worker is discharged or dismissed or quits employment, before the expiry of the second working day from the date of such discharge, dismissal or quitting. c. Payment of Bonus Act 1965- Section 10: Payment of minimum bonus- Subject to the other provisions of this Act, every employer shall be bound to pay to every employee in respect of the accounting year commencing on any day in the year 1979 and in respect of every subsequent accounting year, a minimum bonus which shall be 8.33 per cent of the salary or wage earned by the employee during the accounting year or one hundred rupees, whichever is higher, whether or not the employer has any allocable surplus in the accounting year.

Benchmark ID	C.3.1.3
Benchmark Details	Where probationary employment is legally allowed, no workers shall work more than three months in this employment category.

Finding Details	Clause #1 in appointment states that probation period is for 3 months and can be extended. Period of extension of probation period is not defined. From review of employment documents for sampled workers, it was noted that probation period was not extended beyond 3 months.
Recommendations for Immediate Action	
Recommendations for Sustainable Improvement	
Compliance Classifications	Sustainable improvement required
Local Law	

Benchmark ID	C.9.3
Benchmark Details	Employees shall be compensated for overtime hours at such premium rate as is legally required in the producing country
Finding Details	Workers are provided a compensatory rest day for work done on rest days, but hours worked on rest days are not compensated, as legally required
Recommendations for Immediate Action	In addition to the compensatory rest day provided, workers should be compensated at overtime premium for rest day work, as legally required.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	The Andhra Pradesh minimum wages rules 1960 - Chapter IV - 24. Weekly day of rest - 4 - An employee shall be granted for the rest day wages calculated at the rate applicable to the preceding day and in case he works on the rest day and has been given a substituted rest day, he shall be paid wages for the rest day on which he worked, at the overtime rate and wages for the substituted rest day at the rate applicable to the next preceding day;

Employment Relationship (ER)

Benchmark ID	ER.17.5
Benchmark Details	Employers shall have in place procedures to track the number, types, and timing and resolution of grievances, and to communicate the resolution of grievances to the workforce.

Finding Details	a. Grievances reported verbally to supervisors, counsellor and management, are not documented. Hence it cannot be verified if all grievances reported are addressed. b. Log of grievances reported on HR Day on November 26, 2024, revealed a grievance by 3 workers from Team B stating, "Not accepting extra work hours" and on November 29, 2024, 2 workers reported "Sunday problem at home". Remarks from management on these concerns states "Done". Management stated that these grievances were addressed, however no documentation is maintained to review the steps taken to address the grievances. The above grievances could be a risk for forced/involuntary overtime and rest day work, with workers sharing reasons for refusing to work overtime and on rest days. On November 29, 2024, a worker reported on HR Day about not getting medication from the nurse. No documentation is maintained to verify if the grievance was addressed. c. Few grievances are reported to works committee instead of reporting to grievance committee. The practice may result in these not being addressed as they are reported in the incorrect committee. The objective of works committee is different than the grievance committee. d. Complete documentation for grievances reported through channels like reporting to HR persons, welfare officers, supervisors is not maintained.
Recommendations for Immediate Action	a. Grievances reported verbally to supervisors, counsellor, and management, should be documented. b. Complete documentation should be maintained to verify if the grievance was addressed in a sustainable manner. c. Grievances should be reported to the grievance committee to ensure grievances are addressed. d. Complete documentation for grievances reported through channels like reporting to HR persons, welfare officers, supervisors should be maintained.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	Industrial Disputes Act 1947- Section 9C (1): Setting up of Grievance Redressal Machinery: Every industrial establishment employing twenty or more workmen shall have one or more Grievance Redressal Committee for the resolution of disputes arising out of individual grievances.

Benchmark ID	ER.18.1
Benchmark Details	Employers shall have written disciplinary rules, procedures and practices that embody a system of progressive discipline (e.g. a system of maintaining discipline through the application of escalating disciplinary action moving from verbal warnings to written warnings to suspension and finally to termination).

Finding Details	a. Written procedures on Workplace Conduct and Discipline does not include the requirement for training of employees and assigning responsibilities. b. Contents of a warning letter issued to a supervisor in March 2025 for verbal abuse, are not clear and easily understood. It states that the act (verbal abuse) amounts to dishonesty and theft and is liable for disciplinary action. The last paragraph states that the "Management would have been justified in taking disciplinary action however as you have assured with your letter and giving one more chance to maintain values, if within this period if you are not able to maintain the then you must be obeyed with the management decision." Similar contents were seen on a warning letter issued to a worker in April 2025 for shouting in the bus. Contents of the letter issued to W # 2 in Jan 2025 for unauthorized absenteeism appeared alright. c. Instances of periodic verbal abuse by some supervisors was reported by sampled workers interviewed. Sarcastic remarks are often used by supervisors when workers request for leave, when disciplining workers and when workers complain of production targets that they need to meet. During the assessment period (past 12 months), the internal complaint committee received 13 complaints pertaining to harassment and abuse. In another instance, based on complaint of harassment by a worker working in shift B, a supervisor was suspended for 3 days (July 9, 2025, to July 11, 2025) and was allowed to work in the same shift from July 12, 2025, to August 23, 2025, post which he was assigned work in shift A. During the period July 12, 2025, to August 22, 2025, the worker who complained worked under stress and fear of being reprimanded by the supervisor. From the assessment, it was noted that though complaints are
Recommendations for Immediate Action	a. Written procedures on workplace conduct and discipline should include the requirement for training of employees. b. Contents of warning letters should communicate accurate information to workers. c. Grievances reported should be addressed in a sustainable manner. Root cause analysis should be conducted for repeated reports of grievances.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	No specific reference

Benchmark ID	ER.18.2
Benchmark Details	Employers shall ensure managers and supervisors are fully familiar with the workplace disciplinary system and in applying appropriate disciplinary practices.

Finding Details	Managers and Supervisors are not fully familiar with the workplace disciplinary system.
Recommendations for Immediate Action	
Recommendations for Sustainable Improvement	
Compliance Classifications	Sustainable improvement required
Local Law	

Benchmark ID	ER.3.3
Benchmark Details	Workers should be provided with written documentation that substantiates all the issues covered in orientation briefings.
Finding Details	Workers do not receive written documentation that substantiates all the issues covered in orientation
Recommendations for Immediate Action	
Recommendations for Sustainable Improvement	
Compliance Classifications	Sustainable improvement required
Local Law	

Benchmark ID	ER.8
Benchmark Details	Employers shall have written policies and procedures with regard to promotion, demotion, and job reassignment that outline the criteria, demonstrate linkages to job grading, and prohibit discrimination or use of demotion or job reassignment as a form of penalty or punishment, are provided in writing and seek feedback from employees in writing, and follow all local legal requirements.
Finding Details	a. Factory does not have policies and procedures on promotion, demotion and job reassignment. Documents pertaining to evaluation of performance is maintained. b. Performance evaluation results are not discussed with workers for whom performance is evaluated and workers do not sign the result document. Hence it cannot be verified is the evaluations were conducted in a transparent way.
Recommendations for Immediate Action	
Recommendations for Sustainable Improvement	

Compliance Classifications	Sustainable improvement required
Local Law	

Benchmark ID	ER.19.1
Benchmark Details	Employers shall maintain on file all documentation needed to demonstrate compliance with the FLA Workplace Code and required laws.
Finding Details	a. When hiring workers, all workers are hired as trainees however duration of training period is not defined in appointment letter signed with workers. b. Service card of workers is not maintained on individual file of workers. c. Calculation errors in scores were noted in the evaluation sheets of workers. Discrepancies were noted in the total score when individual scores were added. The sheets are signed by the evaluator and the Section in charge. Further from the evaluation sheet for 5 sampled workers, it was noted that for 2 workers, the amount of increment in wage was inconsistent for the 2 workers hired 23 days apart and with almost similar scores (96 and 98 out of 100). While amount of increment for W #1 was INR 3000, increment for the other worker was INR 1500. Evaluation results are not discussed with workers and workers do not sign on the evaluation sheet. Management could not provide clarification for this finding. d. When promoting workers, factory does not provide a letter to communicate change in designation, job responsibilities and wage increases.
Recommendations for Immediate Action	a. Duration of training period should be defined in appointment letter signed with workers. b. Service card of workers should be maintained on individual file of workers. c. Calculation of scores in the performance evaluation sheet of workers should be verified and accurately recorded. Results should be discussed with workers and workers should be appropriately graded and provided wage increments. The results should be signed by evaluator, workers and head of the department. d. When promoting workers, factory should provide a letter to communicate change in designation, job responsibilities and wage increases.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required

Local Law	Industrial Employment (standing orders) rules 1946- Form V- appended to Schedule 1-B: Service Card: Every industrial establishment shall maintain a service card in respect of each workman in the form appended to these orders, wherein particulars of that workman shall be recorded with the knowledge of that workman and duly attested by an officer authorized in this behalf together with date.

Benchmark ID	ER.1.1
Benchmark Details	Employers shall have in place written policies and practices and maintain proper and accurate records governing all aspects of employment from recruitment, hiring and probation, including written terms and conditions of employment, job descriptions, administration of compensation, and working hours for all positions, through to retrenchment and termination processes.
Finding Details	a. Job description is prepared, however, not provided or communicated to employees except for group leaders (supervisors). b. The factory does not have written policies on recruitment and hiring. Written procedures do not include information assigning responsibilities and the need for training all employees. c. The factory does not have written procedures on nondiscrimination. d. The factory does not have written procedures on forced labor. e. The factory's written procedures on child labor does not include the need for assigning responsibilities and training of employees. f. The factory does not have written policies and procedures governing all aspects of termination and retrenchment. There are documents and systems to manage termination. There have been no retrenchments. g. Procedures regarding compensation does not include the requirement of training employees and assigning responsible persons to ensure compliance with procedures.
Recommendations for Immediate Action	
Recommendations for Sustainable Improvement	
Compliance Classifications	Sustainable improvement required
Local Law	

Benchmark ID	ER.6.1

Benchmark Details	Employers shall have written policies and procedures and implement practices that encourage ongoing training of all categories of workers with the goal of raising or broadening skills in order to advance in their careers within the factory or beyond.
Finding Details	The factory does not have written policies and procedures on personnel development that encourage ongoing training with the goal of raising or broadening workers' skills so they can advance in their careers.
Recommendations for Immediate Action	
Recommendations for Sustainable Improvement	
Compliance Classifications	Sustainable improvement required
Local Law	

Benchmark ID	ER.5.1
Benchmark Details	Employers shall ensure that all supervisors are trained in national laws, workplace regulations, and the FLA Code, workplace grievance systems, and the appropriate practices to ensure compliance.
Finding Details	Specific trainings are not provided to supervisors on code elements. Supervisors interviewed were not aware of the code elements, though they have some awareness.
Recommendations for Immediate Action	
Recommendations for Sustainable Improvement	
Compliance Classifications	Sustainable improvement required
Local Law	

Benchmark ID	ER.3.1
Benchmark Details	Employers shall provide an orientation to new employees at the time of hiring, which includes explanations of the employers' rules, compensation package and policies for human resources, grievance systems, industrial relations, including respect of the right to freedom of association, workers' rights and responsibilities, FLA Code of Conduct, health and safety, and environmental protection.

Finding Details	a. Review of logs of orientation training revealed that trainings are conducted at the end of the month for workers hired during the month. Workers work up to 28 days before they receive an orientation program. b. Review of logs of orientation program from February 2025 to August 2025 revealed incorrect and incomplete documentation. Instances of missing date when program was conducted, incorrect duration of training reflecting training from 6.00am to 10.00 pm was noted for months of June 2025 and July 2025. For April 2025 and May 2025, the date of trainings was recorded as November 30,2023 for both months, and date was overwritten for April 2025 to reflect 30/14/2025. These logs are signed by the trainers and not signed by Head of Department. Most workers interviewed were not aware of the orientation program. c. Contents of orientation program does not include information on Termination & Retrenchment, Freedom of Association, Workplace conduct and Discipline and Grievance Systems.
Recommendations for Immediate Action	
Recommendations for Sustainable Improvement	
Compliance Classifications	Sustainable improvement required
Local Law	

Benchmark ID	ER.7.1
Benchmark Details	Employers shall have written policies and procedures with regard to performance reviews that outline the review steps and process, demonstrate linkages to job grading, prohibit discrimination, are provided in writing and seek feedback and agreement/disagreement from employees in writing, and that follow all local legal requirements.
Finding Details	a. Factory does not have policies and procedures on performance reviews that include steps and processes, linkages to job grading, nondiscrimination, written feedback, and compliance with legal requirement. b. Factory does not conduct performance reviews for all workers. Increments are provided based on number of years in employment and not based on skills. Performance is evaluated when there are vacancies. Based on verbal feedback from production team, team leaders are short-listed, and performance is evaluated for promotion to group leaders.
Recommendations for Immediate Action	
Recommendations for Sustainable Improvement	

Compliance Classifications	Sustainable improvement required
Local Law	

Benchmark ID	ER.11.2
Benchmark Details	Employers must ensure the following minimum terms and conditions are met in the employment of contract/contingent/migrant/temporary workers: Contract/contingent/migrant/temporary workers shall be provided an employment agreement in their native language setting out the employment terms and conditions. for migrant workers, a copy of their employment contract in their native language shall be provided prior to departure from their country of origin;
Finding Details	Though management stated appointment letters are provided to all workers, most of the sampled workers interviewed shared that they did not receive their appointment letter.
Recommendations for Immediate Action	
Recommendations for Sustainable Improvement	
Compliance Classifications	Sustainable improvement required
Local Law	

Benchmark ID	ER.17.1
Benchmark Details	Employers shall have a clear and transparent system of worker and management communication that enables workers to consult with and provide input to management. This might include suggestion boxes, worker committees, designated spaces for worker meetings, union representatives, and meetings between management and workers' representatives.

Finding Details	a. 4 workers represent 3,727 workers in the grievance committee which may not be adequate representation. Out of the 4 workers, 2 workers work in shift "A" and 2 workers work in shift "B". Hence all 4 worker representatives are not present during the meetings, which results in just 2 workers representing 1850 workers in each shift. In the committee meeting conducted on February 17, 2025, the need to increase worker representatives was discussed with the remark "to be discussed with management". Until August 2025, no action was taken. This was also not discussed in the monthly meetings between March 2025 and August 2025. b. The chairperson of the grievance committee is not designated and rotated every alternate year, as legally required. c. Apart from 4 workers from production, two management representatives in the grievance committee are from (1) "BCIP - Brandix Continuous Improvement Process" and (2) Planning departments. There are no representatives from Human Resources and production supervisors on the committee. The current constitution of the committee may not be effective in addressing grievances. d. Review of log of HR says grievance reported revealed repeated complaints about quality of food served by an outsourced service provider. Sampled workers interviewed complained of the quality of food and shared on most occasions they do not eat the food and drop it in the dust bins. It appears the complaint is not addressed in a sustainable manner as assessors did not see any documentation to verify if management had conducted a root cause analysis to understand the concern and address the same. e. Factory's written procedure on Grievance Systems does not provide information on steps to escalate grievances, timelines
Recommendations for Immediate Action	a. The factory should ensure that adequate representation from workers is maintained in the grievance committee. b. Chairperson of grievance committee should be designated and rotated, as legally required. c. The grievance committee should have responsible management persons who interact with workers periodically. d. Root cause analysis of grievances reported should be conducted and grievances should be addressed in a sustainable manner. Periodic assessment of the system should be conducted to improve effectiveness. e. Written procedures Grievance Systems should include information on steps to escalate grievances, timelines to address grievances, training of employees and assigning responsibilities.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required

Local Law	Industrial Disputes Act 1947- Section 9C (3) : Setting up of Grievance Redressal Machinery- The chairperson of the Grievance Redressal Committee shall be selected from the employer and from among the workmen alternatively on rotation basis every year.

Benchmark ID	ER.1.2
Benchmark Details	Employers shall assign responsibility for the administration of human resources to a clearly defined and adequately qualified staff member or staff members and ensure workers at all levels receive communication and training about existing policies and procedures or any revisions.
Finding Details	Awareness of customer code elements is communicated through the public address system periodically. Specific training on code elements is not provided. Interviewed employees were not well aware of code elements.
Recommendations for Immediate Action	
Recommendations for Sustainable Improvement	
Compliance Classifications	Sustainable improvement required
Local Law	

Benchmark ID	ER.1.3
Benchmark Details	Employers should implement an annual, review process with input from workers of all policies, procedures and their implementation to ensure they meet legal requirements and the FLA Workplace Code.
Finding Details	The worker committee is consulted for temporary changes in workdays or working hours, and not consulted when preparing policies and procedures.
Recommendations for Immediate Action	
Recommendations for Sustainable Improvement	
Compliance Classifications	Sustainable improvement required
Local Law	

Harassment Or Abuse (H/A)

Benchmark ID	H/A.1.1

Benchmark Details	Employers shall comply with all national laws, regulations and procedures concerning discipline, violence, harassment and abuse, including that which is gender-based
Finding Details	a. Penal consequence of Harassment at Workplace is not posted in the factory. b. Sensitization program on harassment is not conducted for workers. c. The Internal Complaints committee does not have any worker representatives in the committee.
Recommendations for Immediate Action	a. Penal consequence of Harassment at Workplace should be posted in the factory. b. Sensitization program on harassment should be conducted for workers. c. The Internal Complaints committee should include worker representatives in the committee.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	a. Sexual harassment of women (prevention, prohibition & redressal) at workplace act 2013- section 19(b): Every employer shall display at any conspicuous place, the penal consequences of sexual harassment. b.Sexual harassment of women (prevention, prohibition & redressal) at workplace act 2013- section 19(c): Every employer shall organize workshops and awareness programs at regular intervals for sensitizing the employees with provisions of the act.

Benchmark ID	H/A.8.3
Benchmark Details	Employers, shall develop, implement and monitor policy and procedures for eliminating the risk of violence, harassment, and abuse in the workplace. Policies and procedures shall include a clear statement that violence, harassment, and abuse will not be tolerated, procedures for the investigation of allegations, and measures to protect any complainants, victims, and witnesses.
Finding Details	Written policy on harassment or abuse, does include information on systems to discipline supervisors, managers and workers who engage in any form of harassment and abuse. During assessment period, multiple concerns related to harassment and verbal abuse were noted.
Recommendations for Immediate Action	
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required

Local Law	No specific reference

Health, Safety And Environment (HSE)

Benchmark ID	HSE.14.1
Benchmark Details	All production machinery, equipment and tools shall be properly guarded and regularly maintained.
Finding Details	a. Needle guards on most sewing machines are pushed upwards rendering them ineffective in preventing injury to fingers of workers. b. Vehicle inspection reports are maintained however the reports are not signed by inspector and transport manager. Factory does not communicate findings in writing to the service provider instead shares pictures on media (WhatsApp). Factory does not conduct a follow up inspection to verify if corrective action was taken. Reports reviewed for past 3 months from assessment dates, revealed findings related to poor quality of tyres, nonfunctional headlights, missing first aid kits, damaged seats, damaged glass and nonfunctional wipers. There is no information if these findings were addressed. c. 11 out of 13 platform ladders used in raw material storage area do not have wheel locks and are being used by workers. Wheels of the platform ladder used near waste storage area were damaged and non-functional. This could be a risk for injury from accidental falls. In the bundling section, 2 platform ladders that are used have wheel locks on front wheels only and were not effective when tested with wheel lock activated.
Recommendations for Immediate Action	a. Appropriate needle guards should be installed on sewing machines and workers should be educated on use of safety guards. b. Findings from vehicle inspections should be effectively communicated to service providers and follow up inspections should be conducted, and results should be documented. c. Wheels on all ladders should have effective safety locks that should be inspected periodically to ensure effectiveness.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	Factories Act, 1948-Section 7A (2b): Every occupier should have arrangement in the factory for ensuring safety and absence of risk to health in connection with the use, handling, storage and transport of articles and substances.

Benchmark ID	HSE.5.1

Benchmark Details	All applicable, legally required or recommended elements of safe evacuation shall be complied with, including all of the following elements: posting evacuation plans; the installation and maintenance of fire alarms; the installation and maintenance of emergency lighting; ensuring aisles/exits are not blocked and that workers are not blocked within their workstations; employee education and training; and evacuation procedures and fire drills.
Finding Details	a. Clothes are not provided to childcare workers to be used when on duty. b Access to passages from few work-stations in sewing section is restricted with inadequate space maintained between work-stations. Workers were sitting back-to-back with their chairs touching each other. In the packing box assembly area and packing section, work areas were congested with packing boxes restricting free and quick access to passages.
Recommendations for Immediate Action	a. Clothes should be provided to childcare workers to be used when on duty. b. Access to passages from work-stations in sewing section should be maintained clear at times.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	a. Andhra Pradesh Factories Rules 1950- 76- Clothes for creche staff - The crèche staff be provided with suitable clean clothes for use while on duty in the crèche. b. Factories Act, 1948- Section 38 (1) (a): In every factory, all practicable measures shall be taken to prevent outbreak of fire and its spread, both internally and externally, and to provide and maintain safe means of escape for all persons in the event of a fire.

Benchmark ID	HSE.30.2.6
Benchmark Details	The health, safety, and environmental policies shall contain the framework for a comprehensive health, safety, and environmental management system including a HS&E risk assessment within which the following are clear and regularly tested and reviewed:protections to workers who allege health, safety, and environmental violations;
Finding Details	Risk assessment conducted by the factory did not consider the "frequency" of operations as part of the calculation for risk.
Recommendations for Immediate Action	
Recommendations for Sustainable Improvement	

Compliance Classifications	Sustainable improvement required
Local Law	

Benchmark ID	HSE.5.1.6
Benchmark Details	All applicable, legally required or recommended elements of safe evacuation shall be complied with, including all the following elements: evacuation procedures and fire drills
Finding Details	Factory does not conduct an assessment after the drill to learn how to improve the evacuation process
Recommendations for Immediate Action	
Recommendations for Sustainable Improvement	
Compliance Classifications	Sustainable improvement required
Local Law	

Benchmark ID	HSE.9.1
Benchmark Details	All chemicals and hazardous substances shall be properly labeled and stored in secure and ventilated areas and disposed of in a safe and legal manner, in accordance with applicable laws and international standards.
Finding Details	a. Spill kit not provided near waste oil storage area. b. The capacity of secondary containment is inadequate to contain oil and chemical leaks from primary storage containers used in the factory.
Recommendations for Immediate Action	a. A spill kit should be provided near the waste oil storage area. b. Secondary containment with adequate capacity should be provided to contain oil and chemical leaks from primary storage containers used in the factory.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	Factories Act, 1948-Section 7A (2b): Every occupier should have arrangement in the factory for ensuring safety and absence of risk to health in connection with the use, handling, storage and transport of articles and substances.

Benchmark ID	HSE.23.1

Benchmark Details	Safe and clean drinking water shall be freely available at all times, within reasonable distance of the workplace. Drinking water shall be of a reasonable temperature. The means to drink water (e.g. cups) must be safe and sanitary and available in an appropriate number.
Finding Details	One steel glass is provided at all drinking water stations for common use by all workers. The arrangement may not be hygienic for use.
Recommendations for Immediate Action	Arrangement for drinking water should be hygienic.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	Factories Act, 1948-Section 18 (1) : In every factory effective arrangement shall be made to provide and maintain at suitable points conveniently situated for all workers employed therein a sufficient supply of wholesome drinking water.

Benchmark ID	HSE.17.1
Benchmark Details	Workstations, including seating and standing arrangements and reach required to obtain tools, shall be designed and set-up in such a manner as to minimize bodily strains.
Finding Details	Rest areas are not provided for workers with standing jobs in the Cutting, Checking, Finishing, and Packing sections.
Recommendations for Immediate Action	Rest areas should be provided for workers with standing jobs in the Cutting, Checking, Finishing, and Packing sections.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	Factories Act 1948- Section 44 (1): In every factory suitable arrangements for sitting shall be provided and maintained for all workers obliged to work in a standing position, in order that they may take advantage of any opportunities for rest which may occur in the course of their work.

Benchmark ID	HSE.1
Benchmark Details	Employers shall comply with all national laws, regulations and procedures concerning health, safety, and the environment.

Finding Details	a. Most workers interviewed complained about the quality of food and shared that on most days they can't eat the food served and drop food in the dust bins. This concern was also noted from review of logs of grievances reported to HR Desk and to the grievance committee. b. From logs of fire evacuation drills, it was noted that drills are conducted at fixed timings (at 8.15 am for A team and at 6.15 pm for B team) instead of conducting the drill at different timings. The timings are planned to reduce the loss of production hours. c. Sanitary pads are in the custody of the nurse and not provided in toilets, as legally required. The arrangement may not be comfortable for workers to obtain pads freely. Per practice, 1 pad is provided free of cost and workers need to buy additional pads. The practice does not comply with legally provided guidelines. d. Audiometric test is not conducted for 210 workers working on machines attaching elastic waist bands. These workers use ear plugs at work.
Recommendations for Immediate Action	a. Factory needs to address the complaint on quality of food being served by external service provider. b. Timings of evacuation drills should be varied and conducted at different timings during the shifts to prepare workers accordingly. c. Sanitary pads should be provided in toilets, as legally required. d. Audiometric test should be conducted for all workers working on machines attaching elastic waist bands.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required

Local Law	a. Factories Act, 1948-Section 7A (2b): Every occupier should have arrangement in the factory for ensuring safety and absence of risk to health in connection with the use, handling, storage and transport of articles and substances. b.Factories Act, 1948- Section 38 (2): Effective measures shall be taken to ensure that in every factory all the workers are familiar with the means of escape in case of fire and have been adequately trained in the routine to be followed in such cases. c.Model Factories Rules, section 19 (3) and section 112 of Factories Act 1948 – Rule 44c- Sanitary napkins of adequate quantity conforming to Indian standards shall be provided and maintained in women's toilet for their use and the same replenished on daily basis. (d) – Disposable bins with lids shall be provided within the women's toilets for collection of used napkins. Used napkins shall be disposed off as per procedure approved by inspector. d. Factories Act, 1948-Section 7A (2b): Every occupier should have arrangement in the factory for ensuring safety and absence of risk to health in connection with the use, handling, storage and transport of articles and substances.

Benchmark ID	HSE.7
Benchmark Details	Workers shall be provided at no cost with all the appropriate and necessary personal protective equipment (e.g. gloves, eye protection, hearing protection, respiratory protection) to effectively prevent unsafe exposure (e.g. inhalation or contact with solvent vapors, noise, dust) to health and safety hazards, including medical waste.
Finding Details	a. Welding shield of welder was seen damaged and not replaced. b. Armlocks on folding ladders used by maintenance team were seen rusted. Inspection of arm locks is not included in the check list for inspection of ladders.
Recommendations for Immediate Action	a. Welding shield of welder should be inspected periodically and replaced when damaged. b. Arm lock of ladders should be periodically inspected to reduce risk of injuries.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	Factories Act, 1948-Section 7A (2b): Every occupier should have arrangement in the factory for ensuring safety and absence of risk to health in connection with the use, handling, storage and transport of articles and substances.

Benchmark ID	HSE.8

Benchmark Details	Workers shall be provided with training on the use and maintenance of personal protective equipment. Training shall be upon hire with periodic refresher training offered to all workers. Management will ensure use of PPE as necessary.
Finding Details	a. Awareness on the use of PPE is communicated using the factory's public address system. Specific training is not provided based on nature of job. b. Workers cleaning underground water tank (confined space) on January 14, 2025, did not use any PPE as was noted from pictures though picture of a worker with PPEs worn was taken prior to entering the confined space. The work permit signed by maintenance team states that workers were provided and use of PPE was monitored.
Recommendations for Immediate Action	a. Specific training should be provided to all workers on the use of PPE as required by the nature of the job they perform. b. Use of PPE should be monitored and ensured for workers.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	Factories Act, 1948-Section 7A (2b): Every occupier should have arrangement in the factory for ensuring safety and absence of risk to health in connection with the use, handling, storage and transport of articles and substances.

Benchmark ID	HSE.13
Benchmark Details	All necessary ventilation, plumbing, electrical, noise and lighting services shall be installed and maintained to conform to applicable laws and to prevent or minimize hazardous conditions to workers in the facility.
Finding Details	a. Excessive lint build up was seen on motors of sewing machines. b. Factory has not conducted any assessment for determining thermal comfort in workplaces.
Recommendations for Immediate Action	a. Motors of sewing machines should be maintained clean at all times. b. Factory should conduct an assessment to determine thermal comfort in workplaces.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	Factories Act, 1948-Section 7A (2b): Every occupier should have arrangement in the factory for ensuring safety and absence of risk to health in connection with the use, handling, storage and transport of articles and substances.

Benchmark ID	HSE.14.2
Benchmark Details	Workers shall receive training in the proper use and safe operation of machinery, equipment and tools they use.
Finding Details	Specific training on the operation of machines is not provided to workers. Awareness of the operation of machines is provided.
Recommendations for Immediate Action	Specific training on the operation of machines should be provided to workers based on the type of machine they operate.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	Factories Act, 1948-Section 7A (2b): Every occupier should have arrangement in the factory for ensuring safety and absence of risk to health in connection with the use, handling, storage and transport of articles and substances.

Benchmark ID	HSE.6.2
Benchmark Details	A sufficient number of workers shall be trained in first aid and firefighting techniques. Training shall be upon hire and with periodic refresher training.
Finding Details	Firefighters are not trained in the evacuation of pregnant women.
Recommendations for Immediate Action	Firefighters should be trained in the evacuation of pregnant women.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	Factories Act, 1948- Section 38 (2): Effective measures shall be taken to ensure that in every factory all the workers are familiar with the means of escape in case of fire and have been adequately trained in the routine to be followed in such cases.

Benchmark ID	HSE.27.3
Benchmark Details	Children must not visit parents in workplace areas.
Finding Details	Specific training on handling children is not provided to the workers working in the childcare facility, though training on fire safety and hygiene is provided.
Recommendations for Immediate Action	
Recommendations for Sustainable Improvement	

Compliance Classifications	Sustainable improvement required
Local Law	

Benchmark ID	HSE.14.3
Benchmark Details	Employers shall ensure safety instructions are either displayed or posted near all machinery or are readily accessible to the workers in language(s) spoken by workers.
Finding Details	Safety instructions are not displayed or posted near machinery.
Recommendations for Immediate Action	Safety instructions should be displayed or posted near machinery.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	Factories Act, 1948-Section 7A (2b): Every occupier should have arrangement in the factory for ensuring safety and absence of risk to health in connection with the use, handling, storage and transport of articles and substances.

Hours Of Work (HOW)

Benchmark ID	HOW.1.1
Benchmark Details	Employers shall comply with all national laws, regulations and procedures concerning hours of work, public holidays and leave.
Finding Details	a. Factory does not ensure that 100% of worker representatives sign on minutes of meeting for agreeing to work on rest days. Instance # 1 - 17 out of 42 members signed the agreement to work on June 22, 2025. Instance # 2 - 13 out of 42 members signed the agreement to work on June 15, 2025. Though less than 50 % of worker representatives signed the agreement; to work on rest days, all workers worked on the rest days. b. Sampled workers interviewed shared that the procedures for obtaining leave was challenging. Workers need to request their co-workers in the team, followed by their team leader, group leader, production in charge and finally the HR. If team leaders or group leaders refuse leave stating production pressures, workers can escalate request to next higher level however they fear of being reprimanded by the team leaders and group leaders.

Recommendations for Immediate Action	a. Factory should ensure that that 100% of worker representatives sign on minutes of meeting for changes made in working hours like agreeing to work on rest days. b. Factory should ensure that process of requesting leaves is streamlined and workers are able to take leaves with no fear of intimidation at any step of requesting leaves. All employees should be trained, and the process should be monitored for effective implementation.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	No legal reference.

Benchmark ID	HOW.11.1
Benchmark Details	Employers shall provide workers with paid annual leave as required under national laws, regulations and procedures.
Finding Details	Unused leave accumulated beyond 10 days is paid instead of allowing leave to be accumulated up to 30 days as legally allowed. The practice of paying wages for unused leave (a) discourages workers from using leave benefits as getting pay is preferred. (b) should worker require leave beyond available 15 days, leave is allowed with no pay. No Pay impacts contribution to social security [Provident Fund] and annual earnings based on which annual bonus is calculated and (c) when wages for unused leave are paid as part of terminal dues instead of paying at end of each year, workers would receive higher amounts with the periodic wage revisions as the amount paid is calculated based on wage amount paid in last pay period prior to leaving employment.
Recommendations for Immediate Action	Workers should be encouraged to use their leave, and unused leave should be allowed to be accumulated up to 30 days as legally permitted.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	Factories Act 1948- Section 79(5)- If a worker does not in any one calendar year take the whole of the leave allowed to him under sub-section (1) or sub-section (2), as the case may be, any leave not taken by him shall be added to the leave to be allowed to him in the succeeding calendar year: Provided that the total number of days of leave that may be carried forward to a succeeding year shall not exceed thirty in the case of an adult.

Benchmark ID	HOW.22.1
Benchmark Details	Employers shall have in place policies for managing all working hour, overtime, and leave records in normal and exceptional circumstances.
Finding Details	Factory does not have written procedures on hours of work, including exceptional circumstances
Recommendations for Immediate Action	
Recommendations for Sustainable Improvement	
Compliance Classifications	Sustainable improvement required
Local Law	

Benchmark ID	HOW.22.2
Benchmark Details	Accurate time records shall be maintained by employers, including overtime, breaks, and leave.
Finding Details	Review of time records from July 2025 revealed instances of incorrect recording of overtime hours. E.g. (i)Worker # 1 swipes in at 5.00 pm and swipes out at 9.45 pm and overtime for 4 hours is recorded and paid. (ii) Period of work for W # 2 from B shift (2.00pm to 10.00pm) reflects 10 hours of total work (8 regular hours and 2 hours of overtime) while period of work for W # 3 on A shift (6.00am to 2.00pm) reflects 12 hours of work (8 regular hours and 3.5 hours of Overtime instead of 4 hours). Management shared that break of 30 minutes prior to start of overtime work, is deducted from total overtime hours for A shift workers, the break of 30 minutes is not deducted from overtime hours of B shift workers.
Recommendations for Immediate Action	The factory must ensure accurate recording of work hours, including overtime hours.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	THE PAYMENT OF WAGES ACT, 19361 - 13A. Maintenance of registers and records. — (1) Every employer shall maintain such registers and records giving such particulars of persons employed by him, the work performed by them, the wages paid to them, the deductions made from their wages, the receipts given by them and such other particulars and in such form as may be prescribed.

Benchmark ID	HOW.3

Benchmark Details	Employers shall provide reasonable meal and rest breaks, which, at a minimum, must comply with national laws.
Finding Details	Review of timecards from July 2025, January 2025 and September 2024 revealed that while workers on "A" shift (6.00 am to 2.00 pm) are provided a break for 30 minutes, prior to start of overtime work, workers on "B" (2.00pm to 10.00pm) shift are not provided the break prior to start of overtime work. Workers on B shift are provided a break from 5.30 pm to 6.00pm and thereafter work until 12 midnight post completion of regular working hours at 10.00pm. Post resuming work at 6.00pm, workers work for 6 hours continuously without a break. The period of continuous work does not comply with legal requirements on intervals during work hours.
Recommendations for Immediate Action	The factory must ensure that workers are provided with intervals for rest as legally required.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	Factories Act 1948- Section 55: The periods of work of adult workers in a factory each day shall be so fixed that no period shall exceed five hours and that no worker shall work for more than five hours before he has had an interval for rest of at least half an hour.

Freedom Of Association And Collective Bargaining (FOA)

Benchmark ID	FOA.1.1
Benchmark Details	Employers shall comply with all national laws, regulations and procedures concerning freedom of association and collective bargaining. national laws, rules, and procedures protecting the rights of workers to organize and bargain collectively. Where local laws and FLA standards differ, the employer is expected to follow the highest applicable standard.
Finding Details	Written procedures on Freedom of Association do not include the requirement for training of employees and assigning responsibilities.
Recommendations for Immediate Action	
Recommendations for Sustainable Improvement	
Compliance Classifications	Sustainable improvement required
Local Law	